PROPERTY CONDITION ASSESSMENT

Osprey Secure Storage | Phoenix, AZ

Property	Osprey Secure Storage
Address	7739 Market Avenue, Phoenix, AZ 15898
Site Visit Date	September 26, 2020
Client	Sunbelt Ridge Acquisitions
Immediate Repairs	$9,000

Building Systems

Mechanical systems include rooftop package units and central plant equipment of varying age. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Osprey Secure Storage was originally constructed in 1971 and consists of 660 storage units in a building of 5 stories.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 16-year membrane system with an estimated remaining useful life of 12 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $393,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 36 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 7 years ago and are operating without deficiency.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $258,000. Elevators were last modernized 5 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Construction Details

Osprey Secure Storage was originally constructed in 1971 and consists of 660 storage units in a building of 37 stories. Common area interiors have been refreshed within the last 8 years and are in average to good condition. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Mechanical systems include rooftop package units and central plant equipment of varying age. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The roof is a 26-year membrane system with an estimated remaining useful life of 4 years. Common area interiors have been refreshed within the last 8 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 35 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Building Systems

Physical occupancy is 90.1% and the average in-place rent is $157 per unit per month. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 22-year membrane system with an estimated remaining useful life of 4 years. Common area interiors have been refreshed within the last 11 years and are in average to good condition. Osprey Secure Storage was originally constructed in 1971 and consists of 660 storage units in a building of 11 stories.

Common area interiors have been refreshed within the last 7 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The roof is a 8-year membrane system with an estimated remaining useful life of 3 years. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Observed Conditions

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 35 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $437,000. Elevators were last modernized 12 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Improvements Description

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Physical occupancy is 94.8% and the average in-place rent is $157 per unit per month. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Osprey Secure Storage was originally constructed in 1971 and consists of 660 storage units in a building of 14 stories. Common area interiors have been refreshed within the last 7 years and are in average to good condition.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Common area interiors have been refreshed within the last 3 years and are in average to good condition. Physical occupancy is 93.1% and the average in-place rent is $157 per unit per month. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Observed Conditions

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 40 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $420,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 4 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $317,000.

Improvements Description

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 26-year membrane system with an estimated remaining useful life of 4 years. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	16	19	3	Fair	$20,000	$243,000
Paving	12	19	7	Poor	$15,000	$47,000
HVAC	15	32	17	Good	$2,000	$167,000
Plumbing	4	37	33	Good	$23,000	$27,000
Electrical	28	39	11	Poor	$26,000	$89,000
Elevators	16	20	4	Good	$33,000	$38,000
Fire/Life Safety	11	20	9	Fair	$8,000	$185,000
Windows	12	25	13	Poor	$34,000	$211,000
Siding/Facade	7	15	8	Poor	$15,000	$37,000
Flooring	8	21	13	Fair	$14,000	$133,000
Appliances	18	20	2	Fair	$32,000	$218,000
Landscaping	18	23	5	Good	$0	$160,000
Pool/Amenity	14	20	6	Fair	$4,000	$14,000
Signage	4	24	20	Fair	$7,000	$132,000
Fencing	5	14	9	Fair	$34,000	$250,000
Roof (2)	2	26	24	Poor	$4,000	$222,000
Paving (2)	5	12	7	Poor	$19,000	$104,000
HVAC (2)	5	20	15	Fair	$2,000	$67,000
Plumbing (2)	13	21	8	Good	$17,000	$197,000
Electrical (2)	10	30	20	Poor	$15,000	$191,000
Elevators (2)	4	23	19	Poor	$19,000	$79,000
Fire/Life Safety (2)	8	13	5	Fair	$20,000	$264,000
Windows (2)	40	40	0	Fair	$11,000	$176,000
Siding/Facade (2)	11	14	3	Good	$17,000	$144,000
Flooring (2)	7	16	9	Poor	$2,000	$265,000
Appliances (2)	9	37	28	Poor	$26,000	$126,000
Landscaping (2)	19	39	20	Poor	$24,000	$49,000
Pool/Amenity (2)	24	30	6	Good	$26,000	$220,000
Signage (2)	16	16	0	Fair	$35,000	$58,000
Fencing (2)	26	35	9	Good	$17,000	$98,000

Report generated 09/26/2020. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Findings and Opinions of Cost

Item	Location	Observed Condition	Recommended Action	Priority	Est. Cost
Water heater	Mechanical	Corrosion	Replace	Reserve	$70,000
Stair treads	Bldg A	Worn / loose	Replace treads	Reserve	$69,500
Dumpster enclosure	Bldg B	Damaged gate	Repair	Year 2-5	$4,500
HVAC unit	Bldg B	Beyond useful life	Replace RTU	Year 1	$88,500
Handrail	Site	Loose	Secure	Immediate	$19,000
Asphalt paving	Bldg A	Alligator cracking	Mill and overlay	Year 1	$19,000
Water heater	Roof	Corrosion	Replace	Immediate	$46,500
Handrail	Site	Loose	Secure	Reserve	$13,500
Stair treads	Mechanical	Worn / loose	Replace treads	Year 1	$77,500
Asphalt paving	Bldg A	Alligator cracking	Mill and overlay	Reserve	$79,000
Sprinkler heads	Common	Painted heads	Replace	Year 2-5	$19,000
Window sealant	Bldg B	Failed	Re-caulk	Year 2-5	$83,000
Roof membrane	Mechanical	Ponding / seams	Re-seal and repair	Year 1	$48,500
Fire extinguishers	Bldg A	Expired tags	Service	Immediate	$13,500
Window sealant	Common	Failed	Re-caulk	Immediate	$15,000
Water heater	Bldg A	Corrosion	Replace	Immediate	$44,500
Sidewalk	Site	Trip hazards	Grind / replace	Year 2-5	$10,000
Sidewalk	Common	Trip hazards	Grind / replace	Reserve	$47,000
Handrail	Site	Loose	Secure	Immediate	$8,000
HVAC unit	Bldg B	Beyond useful life	Replace RTU	Year 2-5	$32,000
Sidewalk	Mechanical	Trip hazards	Grind / replace	Year 2-5	$5,500
HVAC unit	Roof	Beyond useful life	Replace RTU	Reserve	$7,500
Handrail	Common	Loose	Secure	Year 1	$88,000
Sprinkler heads	Roof	Painted heads	Replace	Year 1	$56,000
Stair treads	Common	Worn / loose	Replace treads	Immediate	$57,000
Sidewalk	Mechanical	Trip hazards	Grind / replace	Reserve	$87,000
Fire extinguishers	Site	Expired tags	Service	Year 1	$52,000
Stair treads	Roof	Worn / loose	Replace treads	Reserve	$16,000
Sprinkler heads	Bldg A	Painted heads	Replace	Reserve	$54,500
Water heater	Common	Corrosion	Replace	Reserve	$33,500
Roof membrane	Site	Ponding / seams	Re-seal and repair	Year 2-5	$13,000
Fire extinguishers	Roof	Expired tags	Service	Year 2-5	$70,000
HVAC unit	Bldg A	Beyond useful life	Replace RTU	Year 2-5	$48,500
Window sealant	Bldg B	Failed	Re-caulk	Immediate	$24,500
Sprinkler heads	Bldg A	Painted heads	Replace	Reserve	$58,000
HVAC unit	Site	Beyond useful life	Replace RTU	Immediate	$33,000
Stair treads	Roof	Worn / loose	Replace treads	Year 2-5	$30,500
Sidewalk	Site	Trip hazards	Grind / replace	Reserve	$26,500
Handrail	Site	Loose	Secure	Immediate	$39,500
Handrail	Common	Loose	Secure	Year 1	$34,000
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Reserve	$53,000
HVAC unit	Common	Beyond useful life	Replace RTU	Reserve	$23,000

Report generated 09/26/2020. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Recommendations

Elevators were last modernized 9 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 38 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 12 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 3 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $43,000.

Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 5 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 5 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $253,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $396,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 14 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 20 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Osprey Secure Storage and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on September 21, 2020.

_____

Hector Young, CPG

Northbridge Inspection Services

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only